

SENATE BILL 2074

By Watson

AN ACT to amend Tennessee Code Annotated, Title 5; Title 6; Title 7; Title 49; Title 54 and Title 67, relative to the Local Government Revenue Stability Act.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Local Government Revenue Stability Act."

SECTION 2. The General Assembly finds and declares that:

(1) Local governments historically relied upon property taxation for essential public services, including education, law enforcement, public works, transportation, debt service, and general governmental operations;

(2) With the elimination of the authority of local governments to levy ad valorem taxes upon real and personal property, it is necessary to establish a broad-based, stable, state-administered revenue system to ensure continuity of public services;

(3) A dedicated local government sales tax replacement fund that is financed by a statewide surtax on sales taxable under the Retailers' Sales Tax Act, compiled in Tennessee Code Annotated, Title 67, Chapter 6, is the most efficient and equitable means of maintaining local funding levels without imposing undue administrative burdens on local governments; and

(4) The intent of this act is to keep all ninety-five (95) counties, municipalities, local education agencies (LEAs), and special taxing districts whole, by guaranteeing them the equivalent of their 2028 property tax revenues, adjusted annually for economic growth.

SECTION 3. Tennessee Code Annotated, Title 67, Chapter 5, is amended by deleting the chapter and substituting instead the following:

67-5-101.

Except as provided in § 67-5-102, a tax shall not be levied on property in this state, be it real, personal, or mixed. This section does not absolve a taxpayer of liability for a tax duly levied by this chapter as it existed prior to January 1, 2031, for a tax year ending before that date. This chapter as it existed prior to January 1, 2031, applies to taxes levied prior to that date and taxes described in § 67-5-102.

67-5-102.

(a) A county, municipality, or special district that issued debt prior to January 1, 2031, may continue to levy a property tax in accordance with this chapter as it existed prior to January 1, 2031, for the sole purpose of servicing such debt until the outstanding bonded indebtedness is fully retired.

(b) No debt issued on or after January 1, 2031, may be secured by a pledge of property tax revenue.

SECTION 4. Tennessee Code Annotated, Section 5-8-101, is amended by adding the following language as a new subsection (c):

Notwithstanding another law to the contrary and except as provided in § 67-5-102, a county shall not levy a tax on property in this state, be it real, personal, or mixed.

SECTION 5. Tennessee Code Annotated, Title 6, Chapter 2, Part 2, is amended by adding the following as a new section:

6-2-202.

Notwithstanding another law to the contrary and except as provided in § 67-5-102, a municipality incorporated under this chapter shall not levy a tax on property in this state, be it real, personal, or mixed.

SECTION 6. Tennessee Code Annotated, Title 6, Chapter 19, is amended by adding the following as a new section:

6-19-106.

Notwithstanding another law to the contrary and except as provided in § 67-5-102, a city incorporated under chapters 18-22 of this title shall not levy a tax on property in this state, be it real, personal, or mixed.

SECTION 7. Tennessee Code Annotated, Title 6, Chapter 33, is amended by adding the following as a new section:

6-33-114.

Notwithstanding another law to the contrary and except as provided in § 67-5-102, a city incorporated under chapters 30-36 of this title shall not levy a tax on property in this state, be it real, personal, or mixed.

SECTION 8. Tennessee Code Annotated, Title 6, Chapter 54, Part 1, is amended by adding the following as a new section:

6-54-153.

Notwithstanding another law to the contrary and except as provided in § 67-5-102, a municipality shall not levy a tax on property in this state, be it real, personal, or mixed.

SECTION 9. Tennessee Code Annotated, Title 7, Chapter 3, Part 2, is amended by adding the following as a new section:

7-3-205.

Notwithstanding another law to the contrary and except as provided in § 67-5-102, a metropolitan government created and established pursuant to chapters 1-3 of this title shall not levy a tax on property in this state, be it real, personal, or mixed.

SECTION 10. Tennessee Code Annotated, Title 7, is amended by adding the following as a new chapter:

7-92-101.

Notwithstanding another law to the contrary and except as provided in § 67-5-102, a special district created and established pursuant to chapters 81-90 of this title shall not levy a tax on property in this state, be it real, personal, or mixed.

SECTION 11. Tennessee Code Annotated, Title 49, Chapter 2, Part 1, is amended by adding the following as a new section:

49-2-143.

Notwithstanding another law to the contrary and except as provided in § 67-5-102, a special school district created and established pursuant to this title shall not levy a tax on property in this state, be it real, personal, or mixed.

SECTION 12. Tennessee Code Annotated, Title 67, is amended by adding the following as a new chapter:

67-11-101.

This chapter is known and may be cited as the "Local Government Revenue Stability Tax."

67-11-102.

As used in this chapter:

- (1) "Department" means the department of revenue;
- (2) "Fund" means the local government revenue stability tax fund, created in § 67-11-103; and
- (3) "Local government" includes a:
 - (A) County;
 - (B) Municipality;

(C) Special district created and established pursuant to title 7, chapters 81-90; and

(D) Special school district created and established pursuant to title 49.

67-11-103.

(a) There is created in the state treasury a dedicated account known as the local government revenue stability tax fund.

(b) Beginning January 1, 2031, there is levied a statewide local government revenue surtax of four percent (4.0%) on all sales subject to the sales and use tax levied in accordance with chapter 6 of this title. The surtax is in addition to the rate set in § 67-6-202 and any local option sales tax rate set in chapter 6, part 7 of this title.

(c) All revenue collected pursuant to the surtax must be deposited in the local government revenue stability tax fund, shall not revert or otherwise be transferred to the general fund, and must be retained in the local government revenue stability tax fund until expended, notwithstanding any law to the contrary. Moneys in the fund must be invested by the state treasurer pursuant to title 9, chapter 4, part 6, for the sole benefit of the fund, and interest accruing on investments of and deposits into such fund must be returned to such fund and remain part of the fund. Any balance remaining unexpended at the end of a fiscal year in the local government revenue stability tax fund shall not revert to the general fund but shall be carried forward into the subsequent fiscal year.

(d) Moneys in the local government revenue stability tax fund must be used solely to provide revenue disbursements to counties, municipalities, local education agencies and special school districts, and special taxing districts in accordance with § 67-11-104.

67-11-104.

(a) Each local government shall receive an annual distribution from the local government revenue stability tax fund equal to:

(1) The local government's property tax revenues from 2028, as reported to or certified by the comptroller of the treasury or state board of equalization; plus

(2) A growth supplement calculated by multiplying the property tax revenues under subdivision (a)(1) by a growth factor that is equal to the percentage increase in revenues over the prior year from the sales and use tax levied under § 67-6-202.

(b) The department shall calculate and disburse monthly payments from the fund as follows:

(1) Each county, including those with a metropolitan form of government, shall receive funds in proportion to the county's share of the total amount of county property tax revenues collected statewide for 2028;

(2) Each municipality shall receive funds in proportion to the municipality's share of the total amount of municipal property tax revenues collected statewide for 2028;

(3) Each special school district created and established pursuant to title 49 shall receive funds in proportion to the district's share of the total amount of special school district property tax revenues collected statewide for 2028; and

(4) Each special district created and established pursuant to title 7, chapters 81-90 shall receive funds in proportion to the district's share of total amount of special district property tax revenues collected statewide for 2028.

(c) For purposes of §§ 49-3-314 and 49-3-316, disbursements made pursuant to this section are deemed to be a source of local funds.

(d) Any reduction in fund disbursements shall not relieve a local government of any maintenance of effort obligations unless expressly authorized by statute.

67-11-105.

No later than February 1 of each year, the department, in consultation with the comptroller of the treasury, shall submit a report to the chief clerks of the senate and the house of representatives, the finance, ways and means committee of the senate, the committee in the house of representatives having jurisdiction over tax-related matters, the office of legislative budget analysis, and the legislative librarian detailing revenue collected pursuant to this chapter, growth factor calculations, and disbursements from the fund to each local government. The department shall also publish the report on the department's website.

67-11-106.

The department is authorized to promulgate rules to effectuate this chapter. Rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 13. This act is contingent on the approval and ratification of an amendment, in accordance with Article XI, Section 3, of the Constitution of Tennessee, to Article II, Section 28, to remove the requirement that all property real, personal, or mixed be taxed. The Attorney General and Reporter shall notify the executive secretary of the Code Commission in writing of the occurrence of such approval and ratification.

SECTION 14. Subject to the contingency described in Section 13, this act takes effect January 1, 2031, the public welfare requiring it.